Conflict Escalation Dashboard Report

Automated portfolio risk monitor | Generated 2026-03-27 19:58 UTC

Structured monitoring and regime-classification framework for Iran-linked conflict escalation risk. Signal inputs: market-derived indicators, RSS/GDELT news proxies, OSINT-verified events, and ML-derived escalation probabilities. This is not a conflict forecast — it is a probabilistic regime-assessment and portfolio-positioning aid.

Metric	Latest
Escalation Score	0.195
Escalation Index (ICEI)	54.6 / 100
Δ vs Prev Run	N/A (first run)
Δ vs 7-Day	-6.5 vs 7d ago
ICEI 90% CI	[47.4, 56.4]
Market ROC-AUC	0.946
• OSINT/Events (47.1%)	50.0
• Neg. Sentiment (23.5%)	53.2
• Market/Active (29.4%)	63.0
• RF Anomalies (0%)	N/A — planned gap
Signal Coverage	100.0% of core signal families active
P(De-escalation)	0.0%
P(Stabilization)	63.1%
P(Escalation)	36.9%
P(Short War 2-4w)	16.4%
P(Extended 1-3m)	43.4%
P(Long Proxy 6m+)	40.2%
Portfolio Regime	Stabilization
Recommended Action	Maintain neutral broad equity exposure; do not add incremental risk on headline-driven moves in either direction. Preserve existing hedges but do not materially increase them. Favour liquidity and quality until OSINT, sentiment, and market-active signals align more clearly. Avoid concentration in pure conflict-beta names (XOP, defense primes) absent confirming escalation signals.

Interpretation

Current regime: **Stabilization**. Signal coverage: **100.0%** of core signal families active (this reflects data availability, not statistical certainty of the regime assessment). Run-over-run delta: **N/A (first run)**. Near-term duration probabilities are

tilted toward extended conflict (**43.4%** for 1–3 months).

Regime Change Triggers

The following conditions, if sustained, would argue for a regime reassessment:

Trigger	Direction
Sustained ICEI move above 70 with confirmation from OSINT/events and market-active layers	Toward Escalation
P(Escalation) rising above P(Stabilization) for two or more consecutive runs	Toward Escalation
Repeated worsening in run-over-run delta (ICEI) without reversal	Toward Escalation
Sustained ICEI decline below 40 with de-escalation signals from sentiment and OSINT layers	Toward De-escalation
P(De-escalation) rising above 50% with corroborating market signal convergence	Toward De-escalation

Note: thresholds above are directional guides derived from the current ICEI scale and probability framework, not statistically calibrated confidence bounds.

Data availability

Layer	Status
Market layer	Live
News volume/tone	Live
Event layer (OSINT/ACLED)	Live

Signal Coverage (shown in the summary table) reflects the fraction of core signal families currently returning live data. It is not a measure of statistical confidence or forecast accuracy.

Method / caveat notes

Missing signals no longer dilute the model. The escalation score is availability-adjusted so only live signal families contribute to the normalized score. If GDELT is rate-limited, the notebook attempts to backfill with RSS-derived keyword signals; if ACLED is unavailable, the event layer remains neutral. The ICEI uses a 3-component structure aligned with the conflictly.app GTI methodology: OSINT/Events (47.1%), Negative Sentiment (23.5%), Market/Active Conflict (29.4%). RF signal anomalies (conflictly base: 15%) are held as a planned gap. Market signal weights are empirically derived via logistic regression on OSINT-verified operation days (non-circular ground truth). The Random Forest classifier uses the same OSINT ground truth as its training target, replacing the previous circular market-threshold heuristic. ICEI confidence interval is bootstrapped from the last 30 trading days of each signal.

Sub-Sector Positioning Guidance

Sub-sector breakdown for the current portfolio regime. Note: defense primes carry a 6-18 month procurement lag; refining margins compress when crude spikes without demand recovery.

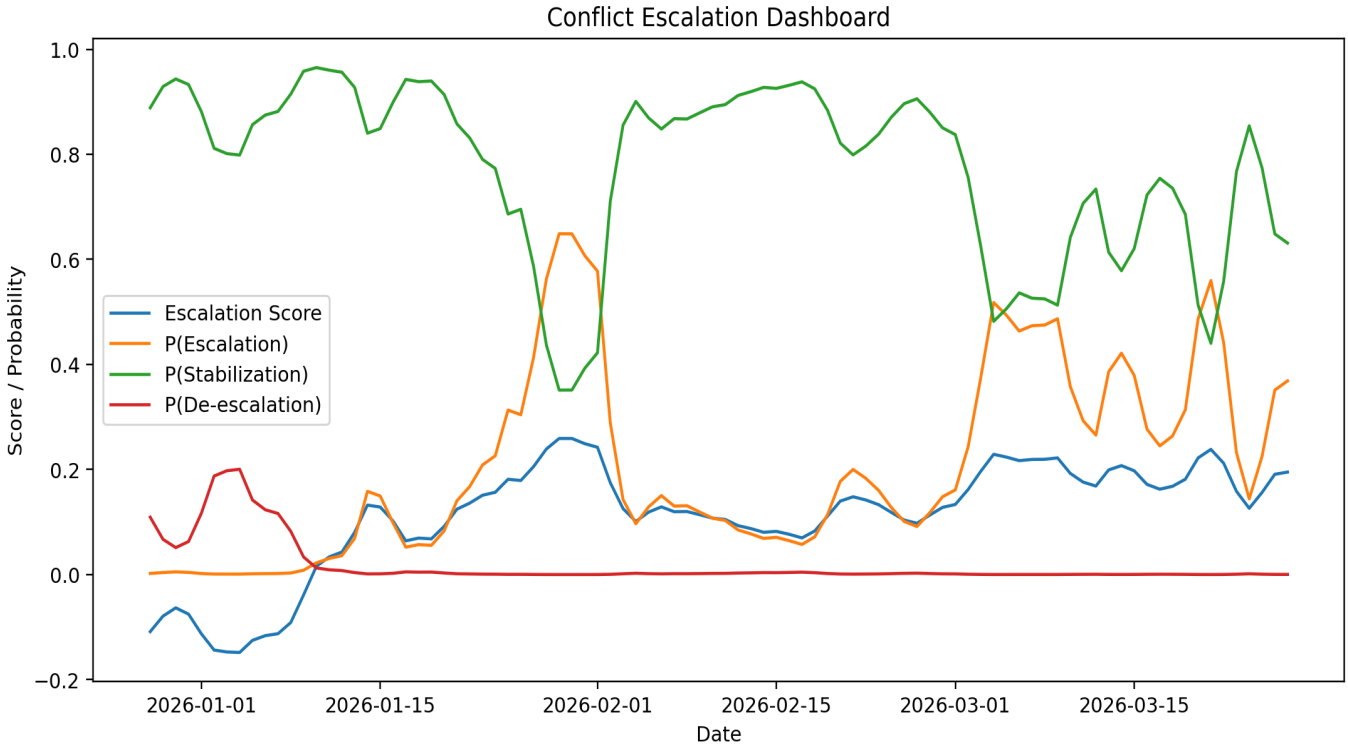
Sub-sector	Guidance (Stabilization regime)
Upstream E&P (XOP)	Neutral
Midstream (AM / AMLP)	Neutral — hold for income
Refining (VLO, PSX)	Neutral
Defense primes (LMT, RTX, NOC)	Neutral — maintain existing position
Defense services (CACI, SAIC)	Neutral
Broad energy (XLE)	Neutral

Market Corroboration Layer

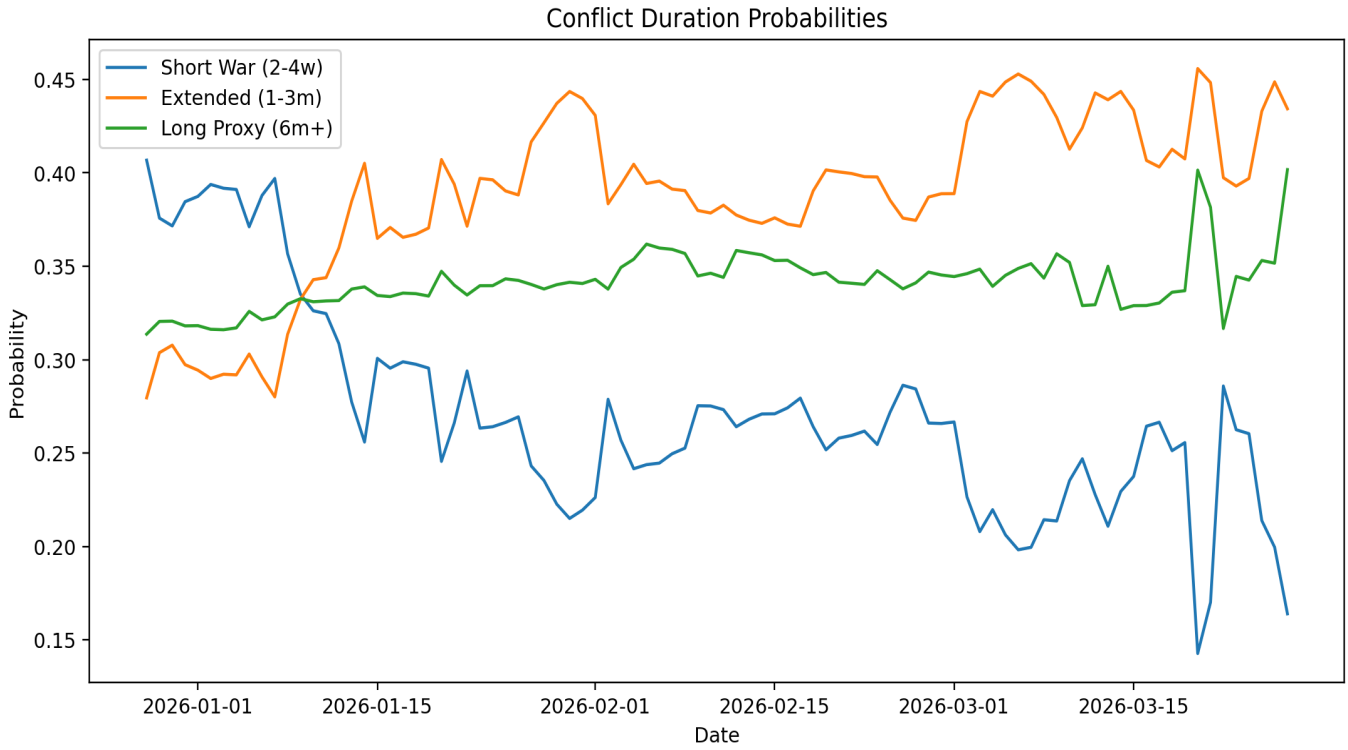
These market-return signals (XLE/SPY, ITA/SPY, TLT, HYG, BTC) are structurally lagging and confirming — they do NOT drive regime classification. They exist to validate whether market prices have already moved in the direction implied by the causal signal layer. Alignment between the corroboration layer and causal layer increases regime confidence. Divergence — where market prices have not confirmed the causal read — should be treated as a flag for caution rather than a reason to dismiss the causal signal.

Signal	Value	Interpretation
XLE vs SPY (5d)	+0.724	Corroborating escalation
ITA vs SPY (5d)	+0.117	Neutral / inconclusive
TLT (inverted)	-0.139	Neutral / inconclusive
HYG (inverted)	+0.005	Neutral / inconclusive
BTC (inverted)	+0.223	Corroborating escalation

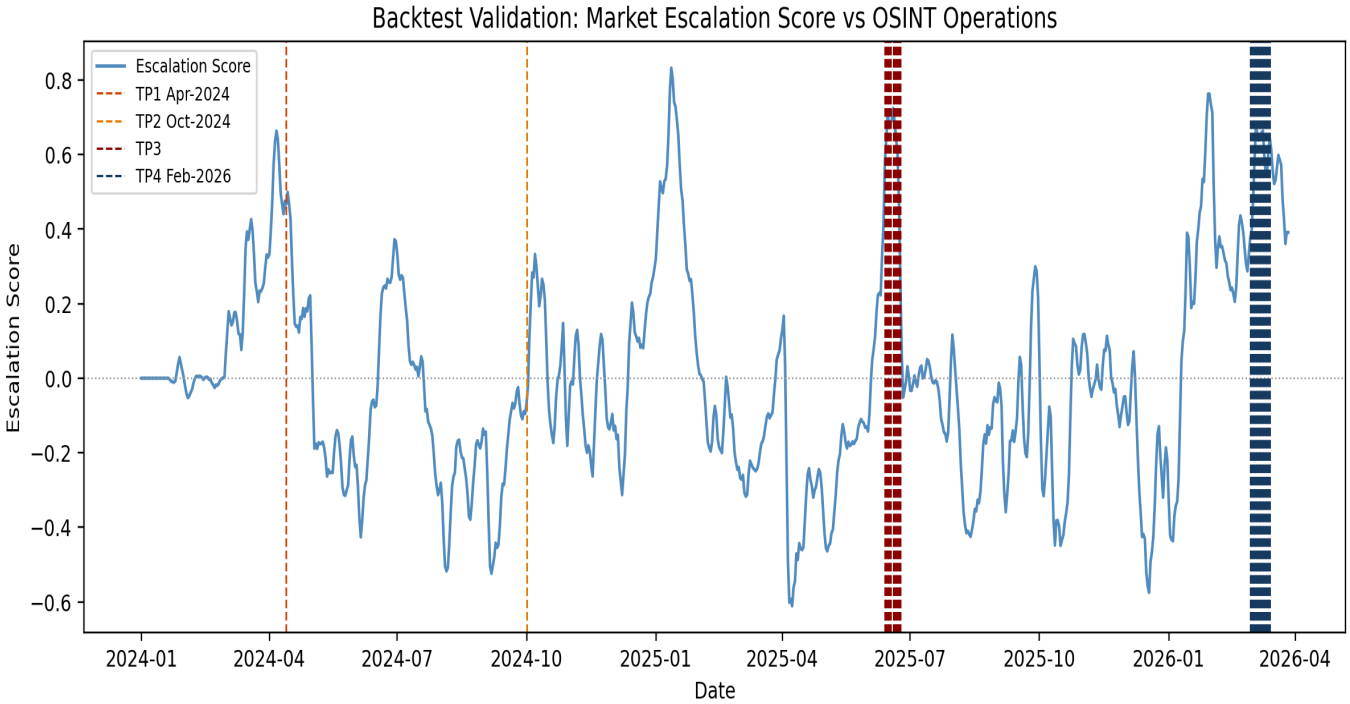
Conflict Escalation Trend



Conflict Duration Probabilities

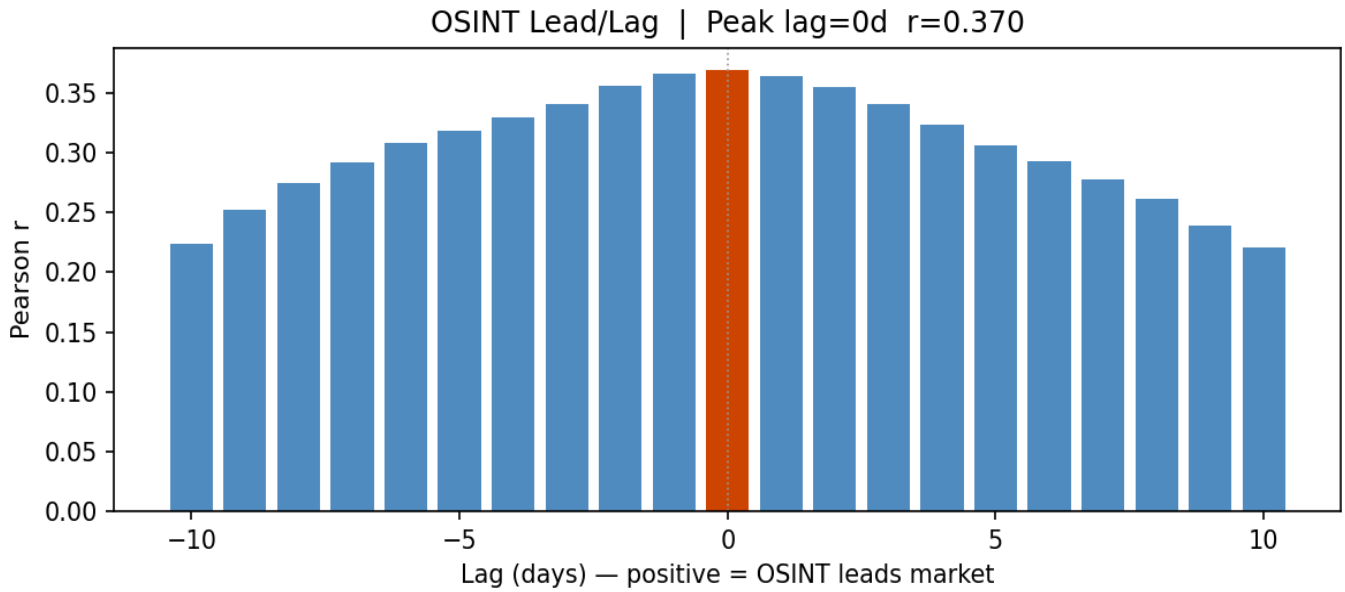


Backtest Validation



Full-history market escalation score vs OSINT-verified operation events (dashed vertical lines). Market ROC-AUC: 0.946. A score elevated during operation windows and near 0 in calm periods is consistent with the market signal layer tracking conflict-related price dynamics. This supports the framework as a monitoring tool; it does not establish predictive accuracy or causal attribution.

OSINT Lead/Lag Validation

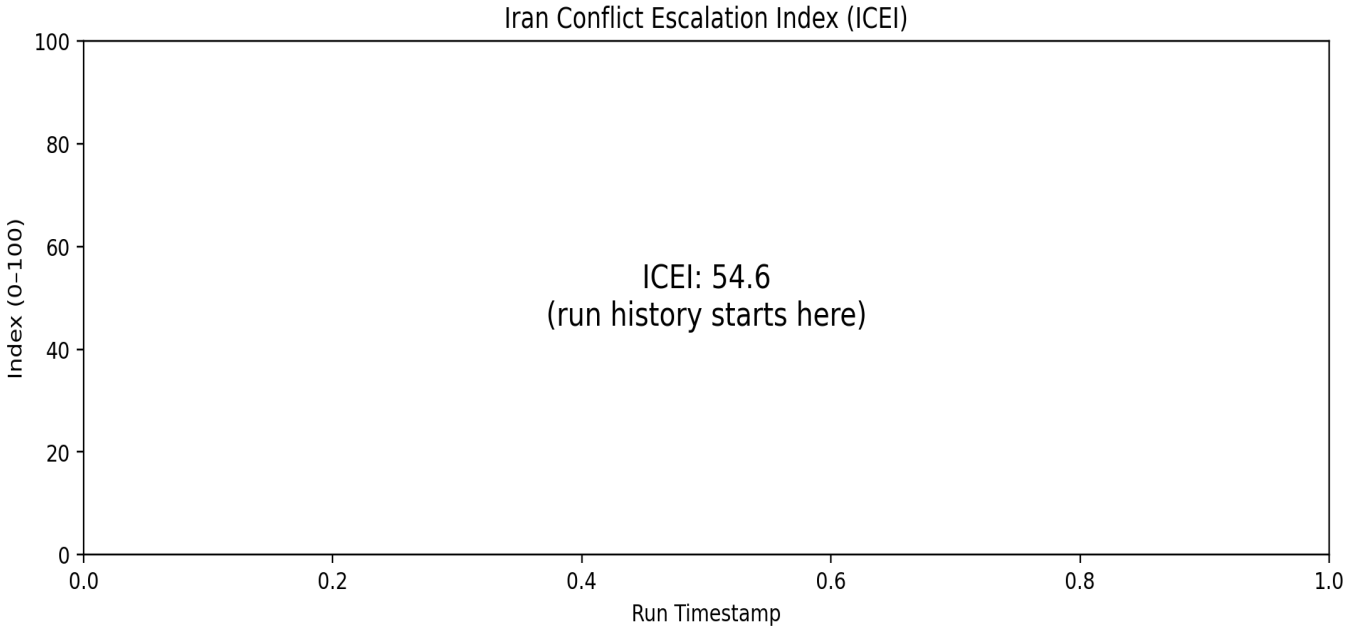


Peak correlation at lag=0 days (r=0.370). The current result is primarily coincident (lag=0): OSINT operation days and the market signal are moving together rather than one clearly leading the other. This supports use as a real-time monitoring framework rather than a standalone predictive timing signal. Positive lag = OSINT preceded the market escalation signal by that many trading days. Bars are Pearson r at each offset. Treat all lead/lag results as indicative given limited operation-day sample size.

Escalation Index (ICEI) History

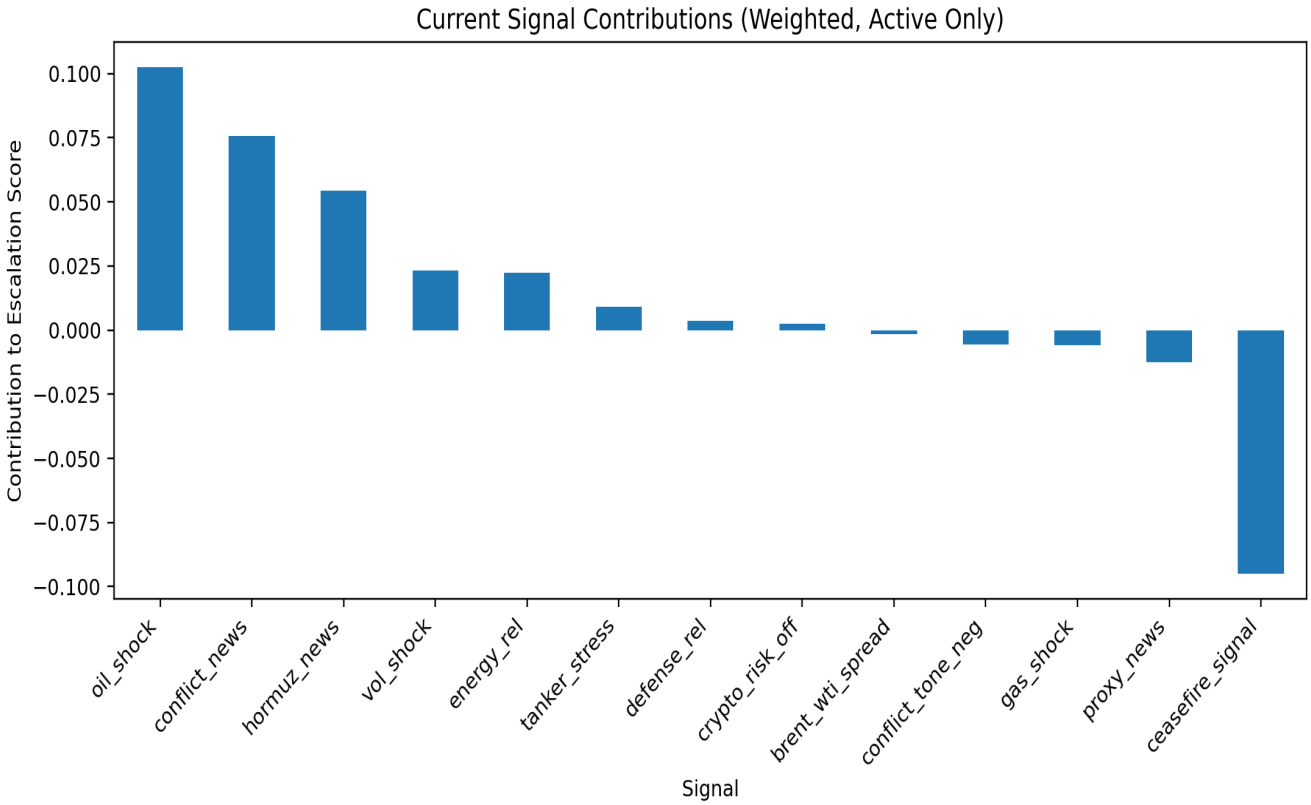
ICEI Range	Interpretation
0 – 30	Low conflict pressure — minimal signal activation across components
30 – 50	Below-neutral — some signal activation but below historical midpoint
50 – 70	Stabilization / mixed — elevated but not dominant escalation read
70 – 100	Elevated escalation pressure — broad signal activation; treat as actionable

ICEI ranges are derived from the 0–100 scaling of the composite escalation score (50 = neutral baseline). Ranges are descriptive guides, not calibrated probability thresholds.



The Iran Conflict Escalation Index (ICEI) maps the model's escalation score to a 0–100 scale (50 = neutral baseline, 70+ = elevated, 100 = maximum). Each data point represents one notebook run. Use the run-over-run delta to detect directional shifts.

Signal Contributions



Inactive / unavailable signals

iran_instability, hormuz_tone_neg, acled_events, osint_munitions, osint_intercept_fail

Warning: one or more signal components are currently inactive or returning neutral values. While the model adjusts for availability, missing components reduce coverage breadth and may reduce sensitivity to fast-moving escalation dynamics. Treat the current regime classification with additional caution where key event-driven signals are absent.

Probability Detail (current run)

Full probability breakdown for reference. Core metrics are summarised on page 1.

Metric	Value
Escalation Probability	36.9%
Stabilization Probability	63.1%
De-escalation Probability	0.0%
Short War (2-4 weeks)	16.4%
Extended Conflict (1-3 months)	43.4%
Long Proxy Conflict (6m+)	40.2%
ICEI Component — OSINT/Events	50.0
ICEI Component — Neg. Sentiment	53.2
ICEI Component — Market/Active	63.0